

of over five times in the last four years. On a positive note, Jaju says, "There is an increase in FDI cap for the defence sector, and notification will get issued shortly. Our focus should not be just manufactured in India but manufacture in India for the world. We have an online portal, which issues clearances to all the exporters in a time-bound manner. Last year, we gave all the clearances within the timeline that we stipulated."

Besides, the discussion also focused on the space sector. In the latest development, the government has announced to bring more private players in the space segment in an effort to promote 'self-reliant India' mission. Col. H.S. Shankar says, "After the announcement, there have been some inputs coming from the Indian Space Research Organisation (ISRO) and government of India. ISRO has come out with an expression of interest for handing over the total manufacturing, assembling, integration, and testing of the PSLV 3 program to a consortium of private industries. So, two or three such consortiums have been made, and ISRO will request the proposal or tender. On the basis of it, ISRO will decide which particular consortium will be given the task of building and making its own factory. This is a very good example of how ISRO wants to utilise the private industry. And we welcome this."

Defence procurement policy

India's defence procurement policy aims to push forward higher indigenous content for defence equipment and supports various initiatives for local material/vendors as part of Make in India initiative.

Lt Gen. Sanjay Verma says, "As far as Indian army is concerned, 75 per cent of the last five-year procurement has been from Indian industries, both in terms of the number of contracts as well as the monetary value. Whatever expenditure has been done on the contract, it has been done on the Indian industries."

He adds, "Another good thing that we would like to share is that request for proposals (RFPs), which we have floated around 70 to 75 per cent, are directed at the Indian industry. So, we are in sync with the Make in India ini-

tiative. In fact, with the new reforms, this will gather momentum."

While discussing the General Staff Qualitative Requirements (GSQRs) of weapons and platforms, Lt Gen. Chandele points out, "The government has suggested that the armed forces, when they make their wish lists, should have realistic GSQR. A little word of caution—it should not dilute the operational parameters of the equipment, which is to be procured. You will require equipment that is comparable and better than what the adversary possesses. You can't fight tomorrow's war or today's war with yesterday's tools. So, we require modern state-of-the-art equipment. And there should be a balance between what is operationally required and what is desired."

As far as the offset policy is concerned, Emmanuel de Roquefeuil highlights, "We are a bit cautious with the offset part. It could be much better if more incentives were given. Because at the end of it, the purpose of the offset part of the DDP is to invite companies like Thales and others. They need to invite those companies which are ready to invest in India. This part of the documents could be improved."

Further, he welcomed the initiative of raising the foreign direct investment (FDI) cap from 49 per cent to 74 per cent via the automatic route, which was announced by the government of India recently.

The discussion also highlighted the inspection process of the equipment, which is a concern considering its time-consuming process. JD Patil says, "The one big bugbear in the defence sector has always been the inspection process. Until the inspection is not completed, the equipment is not stamped for delivery. Since the outbreak of the Covid-19, digital has taken some amazing levels of initiatives. Now, we have started inspecting equipment online with proper kinds of cameras, special software, etc. In fact, we have already delivered three systems within four weeks—fully digitally inspected and digitally certified. Before this, it was unthinkable in the defence industry—everything had to be carried out on paper and done in a set format. I think those myths are falling out and falling apart. These bad times are teaching us new things.

Some of the long-run processes and procedures which have been holding the industry have been changing substantially."

Opportunities for MSMEs and startups

The role of startups and MSMEs is significant to help India in achieving its goal of indigenisation and self-reliance in the defence sector. Their participation can boost innovation and technology development in the defence manufacturing ecosystem. With the government's focus on leveraging small businesses and startups, there is an increase in MSMEs' share in India's current defence space.

Stressing on the importance of startups, Jaju says, "We have fairly strong and robust startups in the country, which is the second-largest ecosystem. We run a programme called 'Innovation for Defence Excellence,' and as part of this programme, we have been doing 'Defence India Start-up Challenge.' Now, we have close to fifty startups, which are working on futuristic technologies. We expect these startups to start contributing along with the bigger players in the development of futuristic technologies, and work in tandem to create a defence manufacturing ecosystem."

Lastly, Ankit Tyagi also gave a presentation where he talked about the demand for innovative products and equipment, which will rise in areas of cybersecurity, surveillance, communications, and electronic warfare equipment. "The innovation category will become the impetus to initiate this technology revolution for the Indian Armed Forces, which is again a great opportunity. And finally, with the global downturn, the companies across are looking for new market spaces and local partners. So, it is expected that many foreign companies will look to further expand into the Indian market through collaborations and JVs. And this will give an opportunity to the MSME sector," he says.

The discussion concluded with several queries raised by the audience concerning the domestic defence industry, which was addressed by the panel of experts with fresh insights and thoughts. **EFY**